

Raising Financially Savvy Kids

You need to take an organized approach to teaching your children sound financial principles and personal-finance skills if you don't want them to grow up to live from paycheck to paycheck, be financially dependent on you, get deeply into debt, or develop destructive attitudes about money.

You can start with teaching your kids about the basics of spending, banking, and saving when they are around the age of five. Let them make their own bank deposits and withdrawals, make purchases, and decide what to spend their money on (within reason).

Kids should receive an allowance by the time they're in school. The purpose of the allowance is to teach them about managing money. Help them decide how much of each week's allowance they'll put in the bank. They'll quickly learn that if they spend it now, they won't have it when something they really want comes along. As your kids get older, adapt your teaching to their age and ability to understand. Teach older kids how to invest by using the Internet to research stocks or mutual funds and set up a mock stock portfolio so they can track their stocks' performance. Teach your teenagers how to balance a checkbook and how to track their earnings and expenditures.



ESSENTIAL

Smart-Money Moves for Kids by Judith Briles helps parents teach their kids about the value and proper use of money. *Allowances,*

Dollars and Sense by Paul Lermite presents a proven system for teaching kids about money. It's easy to read and includes exercises, worksheets, and checklists.

Teach Good Consumer Habits